MEMORANDUM

FIELDING, ASHWORTH & COLE LLP — Charleston | Savannah
PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT — PREPARED IN ANTICIPATION OF LITIGATION AND FOR THE PURPOSE OF PROVIDING LEGAL ADVICE

TO:	**Catherine “Kit” Ashworth, Partner, Real Estate Practice Group Chair**
FROM:	Jordan Vickers, Associate
CC:	File
DATE:	March 28, 2025
RE:	First draft — Mortgage and Security Agreement (Calverley Heritage Bank / Palmetto Gateway Partners LLC; CHB Loan No. 2025-CHS-0047; 520–534 King Street, Charleston, South Carolina) — reserved issues, cross-document inconsistencies and instructions required

CONTENTS

Section	Subject	Issues
1	Purpose, scope and method	—
2	Executive summary — top-risk register	12 prioritized risks
3	Response to your markup notes of March 18, 2025	—
4A	Economic and underwriting issues	A-1 to A-8
4B	Collateral and title issues	B-1 to B-9
4C	Environmental issues	C-1 to C-4
4D	Single-purpose entity and organizational issues	D-1 to D-8
4E	Prepayment and yield maintenance issues	E-1 to E-7
4F	Lease, rent and tenant issues	F-1 to F-6
4G	Covenant, default and guaranty issues	G-1 to G-8
4H	Documentation, closing and drafting additions	H-1 to H-6
5	Drafting decisions and assumptions (20 items)	—
6	Arithmetic and cross-reference verification log	39 figures; 16 conflicts
7	Open items and information requests (19 items)	—
8	Recommended next steps and timetable	—
9	Limitations and reliance	—

1. PURPOSE, SCOPE AND METHOD

1.1 Purpose. This memorandum transmits and explains the first draft of the Mortgage and Security Agreement (the "**Mortgage**") for the captioned transaction and identifies the issues that require your decision, the client's decision or further information before the draft is released to Marcus Prideaux on April 1 and before closing. It responds, section by section, to your markup notes of March 18, 2025 (the "**Markup Notes**") and records every point at which I departed from those notes and why.

1.2 Method. I read each source document in full, built a source-to-issue log, and independently recomputed every total, percentage, date interval, threshold and cross-reference used in the draft rather than relying on the figures stated in the record. **Section 6** contains that verification log in tabular form. Where the record conflicts, I have drafted to the executed Term Sheet (which is the binding commitment as between the parties and which provides, in Section 14.3, that in the event of conflict the Loan Documents control) and have flagged the conflict here rather than resolving it unilaterally.

1.3 Source documents reviewed.

Key	Document	Date	Status / limitation
TS	Executed Term Sheet — Commercial Real Estate Loan, Deal Reference CHB CRE Loan No. 2025-CHS-0047	April 1, 2025	Executed by Lender, Borrower and Guarantor; binding commitment
TC	Commitment for Title Insurance No. PT-2025-04-1178, Commonwealth National Title Underwriters Inc. through Prestige Title & Settlement Services LLC	Effective Feb. 28, 2025	Commitment only; expires Aug. 28, 2025; subject to Schedule B-I requirements
APP	Summary Appraisal Report, Pinnacle Valuation Services LLC, File No. PVS-2025-0214-CHS	Feb. 14, 2025	Summary (not complete) report; as-stabilized value is a prospective value subject to a hypothetical condition
ESA	Phase I Environmental Site Assessment Executive Summary, Clearfield Environmental Consulting LLC, Report No. CLR-2025-0119	Jan. 28, 2025	Executive summary only; expressly states it "does not constitute a complete Phase I"
KAM	Your internal markup notes to me	Mar. 18, 2025	Instructions
OA	Redacted Summary of Amended and Restated Operating Agreement of Palmetto Gateway Partners LLC (Cartwright & Lyons LLP)	Jan. 12, 2024, as amended through Mar. 1, 2025	**Redacted summary only** — not the full operating agreement; expressly insufficient to confirm SPE compliance
RR	Rent Roll and Lease Abstracts (workbook, with Summary, Lease Abstracts and Vacancy Schedule tabs)	Rent roll dated Mar. 1, 2025	Abstracts only; underlying leases not produced
RBS	Renovation Budget and Draw Schedule (workbook, with Budget Detail and Draw Schedule tabs)	Undated; prepared by or for Borrower	Borrower-prepared; internally inconsistent as noted at **A-6**

1.4 Documents not in the record. The following are referenced in the record but were not available for this draft, and the corresponding provisions are drafted on assumptions that must be conformed on receipt: the Promissory Note (**H-1**); the Guaranty Agreement, Completion Guaranty and Environmental Indemnity Agreement; the executed construction contract with Beaufort Builders Group LLC (**H-1**); the ALTA/NSPS Survey dated January 15, 2025; the full unredacted operating agreement and the March 1, 2025 amendment (**D-8**); the underlying leases (**F-1**); the SCDHEC remediation file for Site ID SC-29403-0772 (**C-3**); and the closing statement / sources-and-uses (**A-4**).

1.5 Priority definitions. Throughout this memorandum: **Priority 1** = must be resolved (or expressly reserved to the client in writing) before the draft is released and before any reliance is placed on the affected provision; **Priority 2** = must be resolved before closing; **Priority 3** = negotiation or monitoring point.

2. EXECUTIVE SUMMARY — TOP-RISK REGISTER

Twelve issues carry most of the risk in this transaction. Each is developed in the body of this memorandum at the cross-reference shown.

No.	Issue	Priority	Where developed
1	**DSCR covenant is unachievable on the record.** Even at the borrower's own "stabilized best case," NOI of $622,772 supports a DSCR of only 0.72x on interest-only debt service and 0.55x on amortizing debt service, against a 1.25x covenant tested from month 24 — the same month amortization begins. The loan would have to be approximately $6.5 million to test at 1.25x.	1	**A-2**
2	**Occupancy is 56.13%, not 68%.** Both the Term Sheet and the appraisal overstate occupied area (21,400 SF against an actual 17,400 SF); the two figures in the Term Sheet are internally inconsistent. Every occupancy-driven covenant, budget and lease-up assumption built on 68% is overstated.	1	**A-1**
3	**Borrower's operating agreement does not support the SPE structure.** No independent manager, no separateness covenants, no single-purpose purpose clause, no lender consent to dissolution or amendment, and bankruptcy is not a "Major Decision." The Mortgage as drafted represents that the agreement has been amended; that representation is not yet true.	1	**D-1**, **D-2**
4	**The yield maintenance formula in the Markup Notes does not work and conflicts with the Term Sheet.** As literally drafted it produces a negative number for a partially amortizing loan (there is no scheduled balloon at month 48 to compare against). I have drafted the Term Sheet formulation instead, which produces a premium; the 50 basis points must be placed correctly.	1	**E-1** to **E-4**
5	**Sources and uses do not balance.** Loan plus equity equals $20,950,000, which is exactly purchase price plus renovation budget — leaving no identified source for closing costs (origination fee $147,500, mortgage recording tax $54,575, plus title, survey, legal, appraisal and ESA costs) or for the $150,000 TI/LC reserve required at closing. Identified shortfall: at least $352,075.	1	**A-4**
6	**Anson Lane chain of title.** Title derives from a quitclaim deed; the Title Commitment does not except the parcel but the Title Insurer's addendum expressly disclaims that the chain is "equivalent to that of Parcel One." Coverage must be affirmatively confirmed and endorsed before closing.	1	**B-1**

No.	Issue	Priority	Where developed
7	**Lowcountry Provisions lease is silent on assignment, estoppel and SNDA.** The tenant has no contractual obligation to deliver the estoppel or SNDA that Section 12.1(j)–(k) of the Term Sheet makes a condition precedent to closing.	1	**F-1**, **B-9**
8	**Environmental covenants must be specific, and the Markup Notes understate the requirement.** The Title Insurer's special instruction to closer and Section 5.4 of the Term Sheet require the Mortgage itself to covenant compliance with the SCDHEC land use restriction, address vapor-barrier maintenance and inspection, and create an Event of Default. A "standard template" covenant is not sufficient.	1	**C-1**, **C-2**
9	**Environmental default trigger interacts with the renovation.** Façade restoration and other work near Bay 1 could compromise the vapor barrier; the draft conditions Draws on SCDHEC notice and pre/post-work environmental certification. The construction contract does not yet contain the required covenant.	1	**C-2**
10	**Direct and indirect transfer restrictions conflict with the operating agreement.** The operating agreement permits Tidewater to transfer its 18% interest to any "successor fund" without consent, and permits upstream change of control of GDG; Section 10.3 of the Term Sheet permits neither. Conforming amendment and member joinders are required.	2	**D-3**, **D-4**, **D-5**
11	**Guaranty support has a ten-month hole.** The interest-shortfall guaranty covers only the first 14 months; DSCR testing begins at month 24; there is no debt service reserve, no cash sweep and no DSCR cure right. Months 15–24 are unguarded and untested — and that is precisely when lease-up risk concentrates.	1	**G-1**, **G-3**, **G-8**
12	**Title and closing mechanics are time-critical.** The survey is dated January 15, 2025 and must be re-certified to a date within 90 days of closing — April 15 is exactly day 90. The Title Commitment expires August 28, 2025; the Term Sheet closing deadline is May 15, 2025. Recording order (deed then Mortgage) and the future-advance endorsement must be sequenced.	2	**B-4**, **B-5**, **B-6**, **B-8**

The four issues I would raise with Marcus Prideaux first. (i) The DSCR covenant cannot be satisfied under the structure as committed (**A-2**); the client needs to decide whether the covenant is to be retained as drafted, re-tested on a different basis, supported by a DSCR cure deposit, or whether the loan is re-sized. (ii) The sources-and-uses gap (**A-4**) is a closing risk, not merely a documentation point. (iii) The SPE amendments (**D-1**) must be signed by all three members, and we do not yet know whether Tidewater's general partner and Harborline can bind their respective entities. (iv) The prepayment formula (**E-1**) is the only place where the instrument as drafted departs materially from your instructions, and the client should confirm the economic result.

3. RESPONSE TO YOUR MARKUP NOTES

3.1 Recitals and defined terms (your §1). Implemented as instructed. Recitals A–F reference each Loan Document by name; "Initial Advance" ($12,500,000) and "Renovation Holdback" ($2,250,000) are separately defined, with the holdback disbursement conditions at **Article 10**; "Property" captures all three tax parcels and the vacated Anson Lane strip; "Loan Documents" cross-references the GC Contract, the Approved Renovation Budget and each reserve arrangement (defined term "Loan Documents" and **Article 2**); "Guarantor" and "Maturity Date" as

instructed. I added a recital (**Recital E**) describing the Controlled Recognized Environmental Condition and the Land Use Restriction, because the environmental covenants in **Section 7.6** need a factual anchor in the instrument that will be recorded.

3.2 Granting clause and Anson Lane (your §2). The granting clause covers the fee estate, Improvements, fixtures and systems, personal property, accounts and reserves, proceeds and awards, permits and entitlements, contracts (expressly including the GC Contract), Leases and Rents, books and records, tax refunds and proceeds (**Section 2.1(a)–(l)**). All three tax map numbers and the Anson Lane strip appear in the granting clause itself and in Exhibit A, as you directed. The legal description is in **Exhibit A** by incorporation and is flagged on its face as requiring insertion of the surveyor's metes and bounds description before recording.

On the **Anson Lane chain of title**, I have not been able to resolve the concern you raised. The Title Commitment does **not** except the strip from Schedule B-II — which is helpful — but the vesting addendum disclaims any representation that the chain "is equivalent to that of Parcel One," and Note 3 to closer reserves premium and may limit coverage by endorsement. The Mortgage therefore requires recordation of a full metes and bounds description, requires Mortgagee's approval of the Title Policy as issued, and I have built the endorsement requirement into the defined term "Title Policy." This is developed at **B-1**. I have **not** been able to confirm requirement (2) of your note (complete and unbroken vesting chain from the City of Charleston) because the municipal records and recorded ordinance are not in our file; that is an open item at **Section 7**.

3.3 Assignment of leases, rents and profits (your §3). Implemented as an **absolute and present assignment** in **Article 5**, with the words "collateral" and "as additional security" eliminated throughout. The provision states that the assignment is absolute and present, effective on execution without regard to any default, includes the representation that Mortgagor has the right to assign "specifically and without limitation" the Lowcountry Provisions lease (**Section 5.2(e)**), grants a revocable license to collect until default (**Section 5.3**), permits collection upon written notice to tenants without a court order or receiver (**Section 5.4**), includes the receiver mechanism you asked for (**Section 13.3**), and adds the post-closing covenant to obtain a conforming amendment at the next renewal, extension or amendment opportunity, with the March 31, 2027 renewal-notice deadline fixed as the outside date (**Section 5.6**). Three points require your attention: the statutory citation (**F-1**), the characterization risk that an absolute assignment creates in a borrower bankruptcy (**F-4**), and the fact that the tenant has no obligation to deliver the estoppel you want (**F-1**).

3.4 Single-purpose entity covenants (your §4). Implemented as instructed: the Mortgage contains full SPE and separateness covenants (**Section 7.4(a)–(k)**) and a representation that the operating agreement contains the required independent-manager, separateness, single-purpose and anti-amendment provisions (**Section 6.12**). I did **not** treat that representation as a formality — on the record it is presently inaccurate (**D-1**), and I have made the executed operating agreement

amendment, together with the written consent and joinder of all three members, an express condition to the truth of the representation so that the representation cannot be given falsely at closing without a visible failure of a closing condition.

3.5 Prepayment and yield maintenance (your §5). This is the one place where I did not follow your instruction, and I need your direction. Your suggested formula compares the present value of remaining scheduled payments to the principal being prepaid and floors the premium at zero. For a loan that amortizes over 25 years but matures at month 60, there is no scheduled balloon payment at the end of the Yield Maintenance Period, so the present value of the remaining installments (roughly $1.63 million at month 30) can never approach the outstanding principal (roughly $14.62 million). Your formula therefore yields **zero** in every realistic scenario — it would eliminate the prepayment premium entirely. I have instead drafted the Term Sheet formulation (greater of 1.00% of the prepaid principal or the present value of the interest differential), which is mathematically determinate, produces a premium, and is faithful to the binding commitment. The full analysis, including a worked example and the treatment of the 50 basis points, is at **E-1** to **E-4**.

3.6 Other sections (your §6). UCC collateral and fixture filing (**Article 3**), renovation disbursements (**Article 10**, with 10 business days' notice, architect certification, lien waivers at your $25,000 threshold, title date-down, inspection and 10% retainage), insurance (**Article 8**, carrying your amounts plus builder's risk and, as an addition, business income/rent loss coverage — see **H-5**), financial covenants (**Section 7.8**), default and remedies (**Articles 12–13**, with an express statement at **Section 13.2** that the Mortgage grants no power of sale and that foreclosure is judicial only), governing law and recording (**Section 18.5**, with the mortgage recording tax computed at $54,575), and environmental covenants (**Section 7.6**). On the last: your note says the standard template environmental covenant "should suffice." **I have not followed that instruction**, because the Title Insurer's Note 1 to closer and Section 5.4 of the Term Sheet both require specific covenants and a dedicated default trigger; this is developed at **C-1**.

4. DETAILED ISSUES AND RECOMMENDED RESOLUTIONS

A. ECONOMIC AND UNDERWRITING ISSUES

A-1 — Occupancy is 56.13%, not 68% (Priority 1). The Term Sheet (§2.3) states "current occupancy is approximately sixty-eight percent (68%)" and, in the same section, that vacant space totals "13,600 square feet, or approximately 43.9% of total building area." Those two statements cannot both be true: 13,600 ÷ 31,000 = 43.87% vacancy, i.e. **56.13% occupancy**. The appraisal (APP §1 and §3.1) repeats the error and compounds it, stating "68% (21,400 SF of 31,000 SF occupied)" and "vacant area is 13,600 SF (32%)" — the occupied and vacant figures sum to 35,000 SF for a 31,000 SF building. The rent roll is correct: Bay 1 (3,800) + Bay 3 (3,800) + Suite A (9,800) = **17,400 SF occupied**, 13,600 SF vacant, 3 of 5 units. The appraisal's weighted average in-place rent of $19.40/SF is also derived from the erroneous 21,400 SF denominator; the correct figure is $23.86/SF ($415,100 ÷ 17,400).

Effect. Every covenant, budget, lease-up projection and stabilization assumption in the record that was calibrated to 68% occupancy is calibrated to a number that is 11.9 percentage points too high. The appraiser's as-stabilized value assumes 95% occupancy and a 18–24 month lease-up; measured from 56.13% rather than 68%, the required absorption is materially greater.

Resolution. The Mortgage does not state an occupancy percentage (deliberately — the instrument should not hard-code a figure that the record gets wrong). Exhibit D states 56.13% and 17,400 SF. Recommend: (i) the closing rent roll be re-certified on the correct basis; (ii) the appraisal be reviewed with the appraiser as to the occupancy error and its effect, if any, on the 6.25% as-is capitalization rate and the $18,200,000 as-is value — if the error is confined to the summary narrative the value may be unaffected, but the client should not accept the report without asking; and (iii) if the client intends any occupancy-based covenant (e.g. a lease-up benchmark or a guaranty burn-off), it must be drafted from 56.13%.

A-2 — The DSCR covenant cannot be satisfied (Priority 1). This is the most serious issue in the transaction. Section 7.1 of the Term Sheet sets a 1.25x minimum DSCR, tested quarterly from month 24; Section 11.1(i) makes two consecutive quarters below 1.25x an Event of Default. Section 3.9 of the Term Sheet ends the interest-only period at month 24 and starts 25-year amortization at month 25. So the first test dates coincide exactly with a step-up in debt service. Computed at the SOFR floor (3.00% + 2.85% = 5.85%), the numbers are:

Measure	Amount
Monthly interest-only payment	$71,906.25
Annual debt service, interest-only	$862,875
Monthly P&I, 25-year amortization at 5.85%	$93,686.61
Annual debt service, first amortizing year	$1,124,239
NOI required for 1.25x on interest-only debt service	$1,078,594
NOI required for 1.25x on amortizing debt service	$1,405,299
Borrower's "stabilized best case" NOI (RR, Vacancy Schedule)	$622,772
Implied DSCR on interest-only debt service	**0.72x**
Implied DSCR on amortizing debt service	**0.55x**
Borrower's "realistic" NOI at the April 15, 2027 test date	$314,782
Implied DSCR on interest-only / amortizing debt service	**0.37x / 0.28x**

Put differently: on the borrower's own stabilized projections, the loan would have to be approximately **$6.5 million** (amortizing) or **$8.5 million** (interest-only) to test at 1.25x. The loan is $14,750,000. The borrower's own workbook flags the result in terms: "DOES NOT MEET 1.25x COVENANT."

Resolution (client decision required). The Mortgage implements the Term Sheet faithfully (**Sections 7.8(a), 12.1(i)**) because we cannot unilaterally rewrite a covenant the client has committed to. But I recommend we put four options to Marcus: (i) retain the covenant and accept that default is effectively pre-ordained at month 24 (not recommended — a covenant that cannot be met is a covenant that will be waived, and waiver creates lender-liability and documentation exposure); (ii) extend the interest-only period to month 36 and begin testing at month 36 to

permit lease-up (addresses timing but not the arithmetic); (iii) retain the covenant and require a DSCR cure deposit, cash sweep trigger at 1.10x, or an additional interest/DSCR guaranty sized to the gap (**G-8**); or (iv) re-size the loan. This should not be left to closing.

A-3 — As-is LTV of 81.04% requires a documented credit exception (Priority 2). $14,750,000 ÷ $18,200,000 = 81.04%; the as-stabilized LTV of 62.77% is the more comfortable number but rests on a **prospective** value subject to a hypothetical condition (renovation complete plus 95% occupancy). Loan-to-cost is 70.41% ($14,750,000 ÷ $20,950,000) and borrower equity is 29.59% of total project cost. As you anticipated in your closing note, an 81% as-is LTV is outside conventional commercial real estate limits. *Resolution:* obtain written confirmation from Marcus that loan committee or the board has approved the exception, and place the confirmation in the closing file; if the approval is conditional, the conditions need to be reflected in the Loan Documents. I have flagged this in the Mortgage's recitals indirectly (the Loan is made "on the terms and subject to the conditions set forth in the Term Sheet") but a credit exception is not a document term and should be evidenced separately.

A-4 — Sources and uses do not balance; identified shortfall of at least $352,075 (Priority 1). The Term Sheet (Exhibit B) funds the renovation as $2,250,000 holdback plus $900,000 borrower equity, and the purchase price (Section 3.2) as $17,800,000. Its "Total Project Cost" (Section 3.4) is $20,950,000, exactly equal to the $14,750,000 loan plus the $6,200,000 equity commitment. But total project cost excludes closing costs and the $150,000 TI/LC reserve that Section 6.3 requires to be deposited **at closing**. Working backwards: purchase price $17,800,000 less Initial Advance $12,500,000 = $5,300,000 to come from equity; equity commitment $6,200,000 less $5,300,000 = $900,000, which is exactly the "Borrower Equity for Renovation" in the Term Sheet's Exhibit B. The equity is therefore fully committed with nothing left for closing costs or the reserve. Known closing costs alone (origination fee $147,500 plus mortgage recording tax $54,575) are $202,075, and adding the $150,000 reserve gives **$352,075** before any title premium, survey, appraisal, ESA, legal fees or documentary stamps on the deed.

Resolution. Require a certified closing statement and a sources-and-uses schedule as a condition precedent (already contemplated by Term Sheet §12.1(m), which requires "evidence of the funding" of the $6,200,000), and require written evidence that Borrower will fund the shortfall from additional equity or member capital contributions. Draft consequence: **Section 10.6** obliges Mortgagor to fund all costs in excess of the Renovation Holdback from its own funds, and **Section 7.4(g)** requires adequate capitalization — but neither cures a shortfall at the closing table.

A-5 — The borrower's debt service arithmetic is wrong (Priority 3). The rent roll's Vacancy Schedule states a monthly P&I payment of $93,500 and annual interest-only debt service of $863,375. The correct figures are **$93,686.61** (25-year, 5.85%) and **$862,875** (5.85% on $14,750,000). The errors are small ($186.61 per month; $500 per year) and run in opposite directions, but they are symptomatic of a model that has not been independently checked, which matters

because the client is being asked to rely on the same model for the lease-up and NOI projections at **A-2**.

A-6 — The renovation draw schedule does not foot to the budget (Priority 2). The Draw Schedule tab totals **$905,000** of Borrower Equity against a $900,000 commitment (leaving a negative "$-5,000 remaining" in month 14) and **$3,155,000** of cumulative cost against a $3,150,000 budget, while its own TOTAL row asserts $900,000 and $3,150,000. Separately, the Budget Detail tab footnote says the GC Contract "exceeds Lender Holdback of $2,250,000 by $600,000" — but $150,000 of the holdback is allocated to soft costs outside the GC Contract, so the shortfall to be funded by equity on the hard-cost scope is **$750,000** ($2,850,000 less $2,100,000), not $600,000. Neither error changes the borrower's total obligation, but both obscure the funding sequence. I have conformed **Exhibit C** to the $2,250,000/$900,000/$3,150,000 figures and noted the discrepancy on the face of the exhibit, and **Section 10.2(d)** imposes a pro-rata funding test so that Lender does not fund ahead of equity.

A-7 — The draw schedule does not model the 10% retainage, and the equity tail is thin (Priority 2). Two mechanical problems. First, Term Sheet §8.4 requires Lender to retain **ten percent (10%) of each disbursement** from the Renovation Holdback until substantial completion. The RBS Draw Schedule does not model that retainage: its lender draws sum to exactly $2,250,000 with nothing withheld. If retainage is taken as the Term Sheet requires, approximately **$212,000** will be held back by month 11 and a full **$225,000** by substantial completion, none of which reaches Borrower when the RBS schedule assumes it does. Second, the equity tail is extremely thin: under the RBS schedule only **$50,000** of Borrower Equity remains unspent at month 11 and **$20,000** at month 12, against **$130,000** and **$65,000** of undrawn holdback. Combining the two, Borrower would need roughly $160,000 more working capital in months 10–12 than the schedule shows. Cumulatively the lender's share of draws ramps from 25% at month 1 to 71.43% only at month 14 (so equity is funded ahead of entitlement throughout, which is favourable to Lender), but the thin tail means any cost overrun in the last third of the Project lands immediately on Borrower.

Resolution. The pro-rata funding test in **Section 10.2(d)** is largely satisfied by the schedule as designed and therefore is not the problem; the problem is that the schedule understates Borrower's interim cash need. **Section 10.5(f)** permits Lender to withhold a Draw if the undisbursed holdback plus the unfunded equity is insufficient to complete, and **Section 10.6** requires Borrower to fund overruns. Recommend: require Borrower to demonstrate, before the first Draw, that it has at least the full $900,000 of equity available (not merely committed) and the capacity to fund the retainage gap, and require a re-cast draw schedule that models retainage.

A-8 — Balloon and rollover risk at maturity (Priority 3). The Loan amortizes over 25 years but matures at month 60, so approximately **$13,895,165** will be outstanding at the April 15, 2030 Maturity Date (36 amortizing payments having been made). Refinance risk is compounded by rollover: the Tidemark lease (9,800 SF, 31.6% of the building and the anchor cash flow) expires **March 31, 2029**, roughly twelve and a half months before maturity, and the Lowcountry Provisions

lease expires December 31, 2027. At maturity, absent renewal, the lender is looking at a substantially vacant building. Recommend the client consider a maturity-extension/rollover reserve or a cash-management trigger in the final 24 months; neither is in the Term Sheet, so this is a credit recommendation only.

B. COLLATERAL AND TITLE ISSUES

B-1 — Anson Lane strip: quitclaim vesting and disclaimed equivalence (Priority 1). The strip was conveyed by **quitclaim deed** recorded in Deed Book 1128, Page 443 (TC Schedule A §3; ESA §2). The Title Commitment does not except the parcel from Schedule B-II, which is the outcome we wanted. However the vesting addendum states that the Company's willingness to insure the parcel "should not be construed as a representation that the chain of title for this parcel is equivalent to that of Parcel One," and Note 3 to closer reserves the right to require additional premium for extended coverage and/or to limit coverage by endorsement. Your three questions therefore stand as follows: (1) **fee simple insured without carve-out** — not yet confirmed; the commitment insures fee simple but the note preserves the right to limit; (2) **unbroken vesting chain from the City** — not confirmable from our file; the municipal ordinance and City records are not in the record; (3) **endorsement** — I recommend an ALTA Endorsement 34 (Identified Risk — described in Note 3 to closer as an "Identified Exception" endorsement) or specific affirmative coverage for the strip rather than an ALTA 9, which addresses restrictions, encroachments and minerals and does not cover a defective quitclaim chain, and I have made the endorsement set part of the defined term "Title Policy." *Action:* I will write to Rebecca Hargrove at Prestige Title today, copy you, asking for written confirmation that the strip will be insured in fee simple without carve-out and quoting the premium for affirmative coverage, and obtain the recorded Ordinance No. 2019-084 and the City's chain from the RMC Office. This is time-sensitive because the title work should not be renegotiated after the Loan Documents are signed.

B-2 — Blanket plat exception (Priority 2). Exception 7 excepts "any and all matters shown on the plat recorded in Plat Book 41 at Page 218 … including but not limited to setback lines, rights-of-way, drainage easements, and notations thereon." As drafted that is an open-ended exception to everything on the plat, which is not acceptable in a lender's policy. **Exhibit B** limits the permitted exception to items shown on the Survey and approved in writing by Lender, and **Section 2.6** prohibits modification or expansion of any Permitted Exception without consent. *Action:* require the Title Insurer to limit Exception 7 to identified matters prior to closing.

B-3 — Balcony encroachment (Priority 2). A decorative iron balcony projects approximately 2.5 feet over the King Street right-of-way (TC Exception 5; APP §2.1 and §5; ESA does not address it). There is **no evidence in the record of an encroachment permit, license or franchise**, and the Title Insurer expressly makes no representation about one and recommends ALTA Endorsement 28.1; the appraiser also recommends confirming the permit and assessing removal risk. Two further points: the façade restoration line item ($625,000) expressly includes "decorative ironwork repair (including King Street balcony)" and is subject to Board of Architectural Review oversight (RBS Budget Detail, line 3.0), so the

Project will touch the very structure that may be unpermitted; and if the City requires removal, the appraiser notes additional façade work beyond the budgeted scope could be required. **Section 7.16** requires Mortgagor to use commercially reasonable efforts to obtain and maintain the authorization, to deliver all correspondence, and not to remove or alter the balcony except per the Plans and Specifications and BAR approval. *Action:* request the permit/license from Borrower, require ALTA 28.1, and consider whether BAR approval should be a condition to the façade Draws (currently covered by **Section 10.2(f)**).

B-4 — Survey re-certification: April 15 is exactly day 90 (Priority 2). Requirement 9 of the Title Commitment requires the ALTA/NSPS Survey to be "dated or re-certified to a date not more than ninety (90) days prior to the date of closing." The Survey is dated **January 15, 2025**. April 15, 2025 is precisely 90 days later; any slippage — including to the May 15, 2025 outside closing date in Term Sheet §14.5 — requires re-certification, and the Title Insurer will not delete standard exceptions (b) through (e) without it. **Section 1.1** (definition of "Survey") and **Exhibit A** both require re-certification within 90 days of closing. *Action:* instruct Cartwright Land Surveying LLC now to re-certify and to include all Table A items the Title Insurer requires (Note 4 to closer lists items 1, 2, 3, 4, 6(a), 6(b), 8, 9, 11, 13, 14, 16 and 19).

B-5 — Title Commitment expires August 28, 2025 (Priority 3). The commitment is effective February 28, 2025 for six months. The Term Sheet closing deadline is May 15, 2025, so there is headroom, but if closing slips, the commitment must be extended in writing (Condition 2 and Condition 5 of the Commitment, under which the Company may also amend or withdraw on discovery of new facts). No action needed if we close on schedule; diarise.

B-6 — Future advances and holdback priority (Priority 1). $2,250,000 of a $14,750,000 facility will be advanced after recording. If the Mortgage does not clearly secure obligatory future advances and the Title Policy does not carry a future advance endorsement, the lien securing the holdback could be exposed to intervening liens. **Section 4.1** and **Section 4.2** address this expressly, **Section 10.3(g)** requires a date-down endorsement with each Draw, and the defined term "Title Policy" requires the future advance endorsement that Section 5.6 of the Term Sheet already demands. *Action:* confirm with the Title Insurer that the future advance endorsement will cover obligatory advances and that the initial policy will be issued in the full $14,750,000 amount notwithstanding that the holdback is undisbursed.

B-7 — Permitted Exceptions must mirror the policy (Priority 2). Exhibit B lists six permitted exceptions and expressly declines to approve the standard printed exceptions and any open-ended plat reference. **Section 2.6** prohibits any other lien. *Action:* before closing, compare Exhibit B against the pro forma policy and conform; any difference requires client approval and, if material, a decision whether to close.

B-8 — Recording mechanics and mortgage tax (Priority 2). The deed from Hampstead Village Holdings LLC (TC Requirement 2) must record **before** the Mortgage so that Mortgagor's fee title is of record when the Mortgage is recorded;

the Mortgage recites that the deed is recorded "simultaneously," which the title company's disbursement undertaking must implement. Mortgage recording tax on $14,750,000 at $1.85 per $500 (0.37%) is **$54,575.00**, which I have independently verified and inserted at **Section 15.7** (subject to the Title Insurer's confirmation). Note that **Section 15.7** also requires Borrower to pay it; the Term Sheet §13.2(f) puts documentary stamp taxes on Borrower, consistent. *Action:* obtain the Title Insurer's recording and tax calculation in writing; confirm whether the future advance/holdback exposes Borrower to any additional tax (my understanding is that it does not, because the tax is computed on the stated indebtedness secured, but this should be confirmed by the Title Insurer rather than assumed).

B-9 — Estoppels and SNDAs as conditions precedent where tenants have no obligation to deliver (Priority 1). Section 12.1(j)–(k) of the Term Sheet requires estoppel certificates and SNDAs from **all** existing tenants as conditions precedent, and Section 2.3 says the same. The rent roll abstracts show that the **Lowcountry Provisions** lease contains no estoppel obligation and no SNDA or subordination provision at all, and Harmon & Wren's and Tidemark's obligations are contractual and enforceable. So the condition precedent can fail through no fault of Borrower. **Section 5.6** requires Mortgagor to obtain both documents and fixes the closing obligation, and **Section 12.1(r)** makes a failure to deliver an Event of Default. *Action:* as you directed, the Lowcountry estoppel must not be waived — but the practical path is for Borrower to negotiate it now, not at the closing table, and if the tenant refuses we should discuss with Marcus whether an estoppel plus a lender-protective SNDA is achievable or whether the client will accept title insurance over tenant rights plus the statutory assignment of rents (which is enforceable against the tenant regardless of what the lease says). I recommend against conditioning closing on an SNDA from a tenant that has no obligation to give one without the client's informed instruction.

C. ENVIRONMENTAL ISSUES

C-1 — The Mortgage must contain specific LUR covenants, and I have departed from your note (Priority 1). Your §6 says the Phase I "came back clean except for the controlled recognized environmental condition" and that "[s]tandard provisions in the mortgage should suffice." With respect, the record requires more, from three independent sources: (i) Term Sheet §5.4 requires an Environmental Indemnity Agreement addressing hazardous substances generally; (ii) **Note 1 to closer** in the Title Commitment directs that "the Environmental Indemnity Agreement and the Mortgage and Security Agreement contain specific covenants addressing the SCDHEC land use restriction on Lot 7 … including the vapor barrier maintenance and periodic inspection obligation and the prohibition on residential use of the ground floor," and that "[t]he Mortgage should contain an event of default triggered by any failure to comply with or any modification, termination, or violation of said land use restriction"; and (iii) the ESA (§6(d)) recommends that the lender "require the borrower to maintain ongoing compliance with the LUR as a specific covenant in the loan documents, including provisions addressing the consequences of non-compliance and the lender's remedies." **Section 7.6** therefore contains the specific covenants (no residential use of the Lot 7 ground floor; vapor barrier maintenance; no penetration without

prior SCDHEC written approval; notice and reporting; no amendment or release of the LUR without Lender consent; annual officer's certificate plus environmental professional's report; cooperation and access) and **Section 12.1(k)** with **Section 12.2(c)** makes a breach an immediate Event of Default with no notice or cure, exactly as the Title Insurer directs. **Exhibit E** sets out the compliance protocol so that the operational steps are unambiguous.

C-2 — The vapor barrier, the renovation and the Draw conditions (Priority 1). The LUR requires the vapor barrier beneath the Bay 1 slab to be maintained and prohibits penetration or removal without SCDHEC's prior written approval; the ESA warns that any work in proximity to the Bay 1 slab must avoid compromising it and recommends that the contractor be informed and SCDHEC notified in advance. On the face of the budget, the renovation (HVAC, elevator, façade, tenant improvements in Bay 2 and Suite B) does not require work on the Bay 1 slab — but the ESA expressly contemplates that it might, and the consequence of an inadvertent breach is a reopened SCDHEC file and, under the draft, an immediate Event of Default. **Section 7.6(c)(iii)** therefore requires prior notice to SCDHEC and Lender, pre- and post-work certification by a licensed environmental professional, and delivery of the report; **Section 10.2(g)** conditions any Draw for such work on those steps; **Section 7.6(c)(iv)** requires the covenant to be incorporated into the GC Contract, which the executed contract (not in our file) does not yet do. *Action:* require an amendment or side letter to the GC Contract before the first Draw, and obtain the environmental professional's pre-work inspection report before the Project mobilises.

C-3 — Phase II waiver and the SCDHEC file (Priority 2). The ESA records that Lender waived the Phase II requirement by correspondence dated January 22, 2025 (ESA §6). The waiver should be documented in the closing file with the correspondence attached, and the ESA's recommendation that Borrower obtain and review the complete SCDHEC remediation file (including all sampling data, monitoring results and the NFA letter with all conditions) should be a closing condition or an express post-closing covenant. **Section 7.6(b)** captures the reporting obligations, but the initial delivery of the file is not currently a condition precedent under Section 12.1(c) of the Term Sheet (which requires only a satisfactory Phase I). I recommend adding it to the closing checklist.

C-4 — FEMA flood panel discrepancy (Priority 3). The appraisal (APP §2.1) cites FEMA Community Panel No. **45019C0418J**, effective **November 4, 2014**; the ESA (§2) cites Panel No. **45019C0520J**, effective **December 4, 2020**. Both describe Zone X. The discrepancy does not affect the flood insurance requirement in Term Sheet §9.3, which the Lender imposes in Zone X "as a condition of this Loan" notwithstanding that federal regulation does not require it, and which **Section 8.1(c)** implements at $5,000,000. *Action:* confirm the current panel with the insurance consultant; carry the current panel number in the closing file. See also **H-4** on the cost consequences of the flood requirement.

D. SINGLE-PURPOSE ENTITY AND ORGANIZATIONAL ISSUES

D-1 — The operating agreement does not contain the SPE provisions the Term Sheet requires (Priority 1). Section 10.1(g) of the Term Sheet requires

the organizational documents to be amended, to the extent necessary, to include the SPE restrictions before closing. On the redacted summary (OA), none of them is present:

Required provision	Status under OA	OA reference
Independent manager/director with consent right over bankruptcy, dissolution, merger, consolidation, winding up	**Absent** — no independent director or manager of any kind	OA §3.1
Separateness covenants (separate books, accounts, no commingling, own stationery, arm's-length dealings, adequate capitalisation)	**Absent**	OA §§1.4, 3.1, 6.1
Single-purpose purpose clause	**Absent** — purpose clause ends with an unrestricted catch-all "any and all activities necessary, incidental, or related thereto"	OA §1.4
Restriction on voluntary bankruptcy / insolvency filing	**Absent** — and bankruptcy is not a Major Decision	OA §§3.1, 3.2
Lender consent to dissolution	**Absent**	OA §8.1
Lender consent to amendment of SPE provisions	**Absent** (75% member approval only, with affected-member consent for economic changes)	OA §9.1
Change-of-control restrictions capturing indirect/upstream transfers	**Absent** — OA §4.1 applies only to Transfers of interests in the Company and expressly does not address upstream changes	OA §4.1

Your action items (a) through (d) are reflected in the draft: **Section 7.4** contains the full covenants; **Section 6.12** contains the representation that the operating agreement has been amended and that member consents and joinders have been delivered; the representation is keyed to delivery of the amendment as a closing condition; and **Section 7.4(i)** prohibits any later amendment of the SPE provisions without Lender's consent. I have **not** prepared the form of Operating Agreement Amendment — that is Borrower's counsel's document (Cartwright & Lyons LLP) and we should require it in substantially the form of our annex, not draft it for them; I will prepare a short form of required provisions for transmission.

D-2 — The 75% Major Decisions threshold does not protect against bankruptcy, and gives GDG a veto elsewhere (Priority 1). OA §3.2 requires 75% member approval for nine enumerated Major Decisions. Because GDG holds 72%, it cannot approve any Major Decision alone (it needs one passive member) and no combination of the passive members (28% combined) can reach 75% without GDG. That structure is useful for us on sales, financings, amendments and dissolution — but **bankruptcy is not on the list**, so GDG (acting alone) could file the Company into bankruptcy, which defeats the entire purpose of the SPE structure. This is precisely why the independent-manager requirement at **D-1** matters and why **Section 7.4(h)** conditions any bankruptcy filing (and any consent to an involuntary petition) on both Lender's written consent and the independent manager's affirmative vote. The amendment must therefore add bankruptcy, dissolution, merger and consolidation to the unanimous/independent-manager consent list, not merely to the 75% list.

D-3 — Tidewater's "successor fund" permitted transfer conflicts with the Term Sheet (Priority 2). OA §4.2(c) permits Tidewater to transfer its 18% interest to "any successor fund managed by Tidewater GP Holdings LLC or any Affiliate thereof" without the consent of any member, and "successor fund" is undefined; OA §4.5's Affiliate definition is control-based and would capture funds with substantially different economic ownership. Section 10.3 of the Term Sheet prohibits transfers exceeding 10% individually or 25% in the aggregate without Lender consent, and permits only "transfers among the existing members." An 18% transfer to a successor fund would breach the Term Sheet but is expressly permitted by the operating agreement — and the operating agreement binds the members, not us. **Section 7.5(b)** and **Section 7.5(c)(iii)** prohibit it, and **Section 7.5(d)** requires a conforming amendment to the operating agreement as a closing condition. *Action:* the amendment must also revise §4.2(c), and we need written confirmation that Tidewater GP Holdings LLC has authority to execute it (see **D-5**).

D-4 — Upstream change of control is unregulated (Priority 2). OA §4.1 applies only to transfers of membership interests in the Company and expressly does not reach changes in the internal or upstream ownership or management of any member. So Mr. Graydon could transfer his interest in GDG — the 72% managing member — to a third party without triggering any transfer restriction or consent, and Tidewater GP Holdings LLC could itself be acquired or replaced. **Section 7.5(c)** addresses this by deeming any change of Control of Mortgagor or of GDG (including a transfer of Guarantor's interest in GDG) to be a Transfer requiring consent. This is an addition to the Term Sheet's literal text (which speaks only to "ownership interests in the Borrower"); it is consistent with the Term Sheet's evident purpose and is customary, but it is an addition and is listed at **H-5**. The borrower will push back; I recommend we hold it, because a non-recourse loan to a single-purpose entity managed by an individual is only as good as the individual's continued control.

D-5 — Member consents and authority (Priority 1). The SPE covenants and transfer restrictions must bind all three members, not only GDG. Two authority gaps: (i) **Tidewater GP Holdings LLC** is the general partner of Tidewater Opportunity Fund II LP and has exclusive authority to bind it (OA §2.1) — we need its authorising resolution or a certificate, and the limited partnership agreement or an incumbency certificate; (ii) **Harborline Capital Advisors LLC's** members and managers are redacted (OA §2.1 states "[Redacted: members/managers of Harborline not disclosed]"), so we cannot confirm who may sign. **Section 7.4(j)** requires the acknowledgements, joinders and authority evidence as a closing condition. *Action:* request both from Cartwright & Lyons this week; if Harborline will not disclose, consider requiring a legal opinion or a managing-member certificate as to authority.

D-6 — Registered agent name conflict (Priority 3). Term Sheet §1.2 names "**Capitol** Registered Agents Inc." at 1201 Main Street, Suite 410, Columbia; OA §1.3 names "**Statehouse** Registered Agents, Inc." at the same address. One is wrong. **Section 3.5** requires Mortgagor to maintain its organization and to notify Lender of changes; **Section 7.9(i)(vi)** requires notice of a change of registered agent. *Action:* confirm against the South Carolina Secretary of State record; the

discrepancy does not affect the Mortgage but it affects the accuracy of the representation in **Section 6.1** and the notice provisions.

D-7 — Audited financial statements conflict with the operating agreement (Priority 2). Term Sheet §7.3(a) requires **audited** annual financial statements within 120 days. OA §6.2(b) requires only financial statements **reviewed** (not audited) within 90 days. Borrower has no auditor. **Section 7.9(a)** follows the Term Sheet. *Action:* require written confirmation at closing that Borrower has engaged an acceptable CPA firm and that audited statements will be available within the Term Sheet timetable; otherwise the first covenant report will be a default.

D-8 — The full operating agreement has not been produced (Priority 1). What we have is a redacted summary that states on its face that "[c]ompliance with such requirements cannot be confirmed on the basis of this Redacted Summary alone," and that redacts capital account, tax, indemnification, distribution, dispute-resolution and tag/drag mechanics and all exhibits. We cannot give a clean opinion on due authorisation and enforceability (Term Sheet §12.1(h)) or confirm SPE compliance without the full document and the March 1, 2025 amendment (which the summary says was executed but whose terms "have not been summarized"). *Action:* demand the full unredacted agreement and all exhibits and the March 1 amendment as a closing condition; this should go out today.

E. PREPAYMENT AND YIELD MAINTENANCE ISSUES

E-1 — The formula in the Markup Notes produces a zero premium; I have drafted a different formula (Priority 1). Your §5 draft provides that the premium equals the positive excess of "(A) the present value of all remaining scheduled monthly payments of interest and principal from the prepayment date through the last day of the Yield Maintenance Period … over (B) the outstanding principal amount being prepaid," floored at zero. Applied to this Loan, the result is not a small premium — it is a large negative number:

Element (illustrative prepayment at month 30; 18 months remaining; 25-year amortization)	**Amount**
Outstanding principal at month 30	$14,617,715
Present value of the 18 remaining scheduled P&I installments, discounted at a 4.00% Treasury rate	$1,634,124
Excess of (A) over (B)	**$(12,983,591)** — i.e. zero premium

The defect is structural, not arithmetical: with 25-year amortization and a 60-month maturity, **there is no scheduled balloon payment at the end of the Yield Maintenance Period**, so the stream of "remaining scheduled monthly payments" never includes repayment of principal. A formula of this kind works only for a fully amortizing loan or where the scheduled balance at the end of the yield maintenance period is included as a deemed final payment. (Equivalently: adding the present value of the scheduled month-48 balance — $14,617,715 ÷ (1 + 4%/12)^18 = $13,767,819 — gives a make-whole of $784,228, which is a different and larger measure than the Term Sheet contemplates.)

E-2 — What I drafted, and why (Priority 1). Section 16.2 implements the Term Sheet's own formulation, which is both faithful to the binding commitment and mathematically determinate: the Yield Maintenance Premium is the greater of (a) **1.00%** of the principal prepaid, and (b) the present value, discounted monthly at the Treasury Rate, of the excess of interest at the **Note rate** over interest at the **Treasury Rate plus 50 basis points**, in each case on the principal prepaid for the remainder of the Yield Maintenance Period, floored at zero. For the same illustrative month-30 prepayment with a 4.00% Treasury rate, the Term Sheet formulation produces **$286,840**, against a 1% floor of $146,177 — so clause (b) governs, as intended. I have also defined the Treasury Rate precisely (H.15 Treasury Constant Maturities, maturity closest to but not exceeding the end of the Yield Maintenance Period, linear interpolation if there is no exact match, determined two Business Days before prepayment), the discounting convention, the zero floor, and Lender's calculation mechanics with a written calculation delivered five Business Days before prepayment.

E-3 — Where the 50 basis points go changes the number by about $212,000 (Priority 1 — client decision). You asked me to add the 50 basis points to the **loan rate** and confirm with Marcus. That reading is not what the Term Sheet says: §4.2(b) applies the spread to the *reinvestment* leg ("interest that would accrue … at the treasury rate plus fifty (50) basis points"), which is also the conventional construction. The economic difference is material: on the same illustrative facts, adding 50 bps to the loan rate (your reading) produces **$499,314**, versus **$286,840** under the Term Sheet reading — a difference of **$212,474** on that one prepayment. I have drafted the Term Sheet reading. If Marcus wants your reading, we need his written instruction, and the change should be documented as a negotiated amendment rather than slipped into the draft, because it is a substantive increase in the prepayment cost to Borrower and would be difficult to defend as consistent with the Term Sheet under §14.4.

E-4 — The 1% floor must survive (Priority 1). Your draft formula has a zero floor and no minimum. The Term Sheet (§4.2) says "the greater of (a) one percent (1.00%) of the outstanding principal balance … or (b) [the differential]." Deleting the floor would be materially inconsistent with the binding commitment. **Section 16.2(a)** retains it. Note the interaction with **E-2**: because clause (b) is floored at zero and clause (a) is a hard 1%, a Borrower prepaying when Treasury rates have risen still pays 1% — which is the Term Sheet's bargain.

E-5 — Other prepayment mechanics (Priority 2). I have drafted: an absolute lockout for months 1–24 (Term Sheet §4.1); whole-loan-only prepayment during the Yield Maintenance Period with 30 days' notice and payment on a Payment Date; partial prepayment in the open period on 15 days' notice, in minimum increments of $500,000 (the increment is an addition — **H-5**); application of partial prepayments to installments of principal in inverse order of maturity without change to the amortization schedule or Maturity Date; and the statement that the premium is bargained-for consideration, not a penalty, with a waiver of the penalty argument (**Section 16.7**). That last provision is drafted to address the enforceability concern you identified: South Carolina courts will enforce a yield

maintenance provision that is specific, deterministic and objectively calculable, and the drafting must make that plain on its face.

E-6 — Casualty and condemnation at par (Priority 2 — client confirmation). As you asked, I have confirmed the carve-out: **Section 14.4** and **Section 16.5** apply insurance proceeds and condemnation awards to the Indebtedness at par without any premium, and **Section 16.1** preserves that carve-out from the lockout. This is the majority position and I recommend it, but it is not in the Term Sheet; confirm with Marcus.

E-7 — Premium on acceleration (Priority 3). Section 16.6 provides that if Lender accelerates and Borrower tenders the full amount, the Yield Maintenance Premium is due, computed as if the payment were a voluntary prepayment, "to the extent permitted by applicable law." This is lender-favourable and consistent with institutional practice, but its enforceability in South Carolina after Lender's own acceleration is not free from doubt. The savings language is deliberate. Borrower's counsel will negotiate it; I would not concede it, but we should not rely on it in the credit decision.

F. LEASES, RENTS AND TENANT ISSUES

F-1 — Lowcountry Provisions: no assignment, estoppel or SNDA provision (Priority 1). The lease abstract states flatly: "Assignment/Subletting: **No provision.** Lease is silent on assignment or subletting rights and does not contain a consent requirement, prohibition, or landlord approval mechanism," and "Estoppel Certificate Obligation: Lease does not contain a provision requiring tenant to deliver estoppel certificates," and "SNDA: Lease does not contain SNDA provisions." The appraiser independently flags the omission as "unusual for a lease of this type." Your three-step best practice is implemented at **Section 5.2(e)** (representation of authority to assign, naming the lease), **Section 5.6** (estoppel and SNDA delivery obligation with the closing condition) and **Section 5.6(ii)** (post-closing covenant to obtain a conforming amendment at the next renewal, extension or amendment, outside date March 31, 2027). Two caveats: the estoppel is not obtainable as of right (**B-9**), and the statutory citation used in the draft needs verification (**F-2**).

F-2 — Statutory citation for the assignment of rents requires verification (Priority 2). Your note cites the South Carolina Uniform Assignment of Rents Act as "S.C. Code § 29-3-100 *et seq.*" I have drafted the instrument to cite "the South Carolina Uniform Assignment of Rents Act, Chapter 3, Title 29 of the South Carolina Code of Laws, as amended," without a pinpoint section range, because the pinpoint in the file does not match the codification as I understand it and a recorded instrument should not carry an incorrect citation. *Action:* confirm the current section range and the Act's enforcement and notice mechanics before the Mortgage is executed; if the Act's notice provisions impose requirements beyond "written notice to the tenants" (**Section 5.4**), conform the drafting. This is a short research task and I will complete it this week.

F-3 — Absolute versus collateral assignment: characterization risk (Priority 2). I have implemented your instruction to restyle the assignment as absolute and

present and to remove all "collateral" language (**Article 5**). I should record one consequence for the file: in a Borrower bankruptcy, an "absolute" assignment of rents is frequently recharacterized as a security interest, in which case the rents become cash collateral subject to the automatic stay and the Lender's entitlement to collect may be contested. The revocable license in **Section 5.3** and the notice mechanics in **Section 5.4** preserve the practical benefit, and the absolute form is better than the collateral form against third parties and in state-court enforcement. The recommendation stands; this note is for the file so that the client is not surprised if the issue arises.

F-4 — Harmon & Wren: right of first refusal, renewal timing and the renovation overlap (Priority 2). Three interacting problems. (i) The tenant holds a **ROFR on Bay 2** exercisable within 15 business days of a bona fide third-party offer, and it **survives renewal** of the Bay 3 lease; any Bay 2 lease must therefore be sequenced around it. (ii) The Bay 3 lease expires **June 30, 2026** with a renewal notice deadline of **December 31, 2025** — 15 days after the Substantial Completion Deadline of June 15, 2026 expires, and the renewal decision falls in the middle of the renovation, when the tenant is experiencing the most disruption and has the strongest argument to leave. (iii) The tenant's early-termination right (3 months' rent, effective June 30, 2025) lapsed unexercised because the December 31, 2024 notice deadline passed — that is a favourable fact and should be recorded in the estoppel. **Section 7.3** requires Lender consent for leases over 5,000 SF or over 5 years (so the 3,800 SF Bay 2 lease and the 3-year renewal do not require consent), and the continuation paragraph of **Section 7.3** requires Mortgagor to obtain Lender approval of the material terms of any proposed Bay 2 third-party lease *before* presenting it to Harmon & Wren, so that we do not find ourselves approving a lease that the ROFR mechanics then change. *Action:* diarise the December 31, 2025 renewal deadline; require the estoppel to confirm the ROFR terms, the lapsed termination right and the renewal option.

F-5 — Security deposits (Priority 3). Deposits total **$69,183** (Lowcountry $18,050; Harmon & Wren $15,200; Tidemark $35,933), each equal to two months' base rent. **Section 5.7** makes clear that the deposits remain the tenants' property, that the Lien attaches only to Mortgagor's interest, and that Mortgagor must account for and transfer them on demand. I have deliberately not treated them as free collateral; doing so would create lender liability at the moment of enforcement.

F-6 — Tidemark's assignment consent is at the landlord's sole discretion (Priority 3). The Tidemark lease permits assignment only with the landlord's consent "which may be withheld in Landlord's sole discretion" and subletting with consent not to be unreasonably withheld. This matters for the maturity rollover (**A-8**) and if the Lender ever takes title through foreclosure: a tenant whose consent standard is favourable to the landlord may resist attornment, and the SNDA the lease requires (**Section 5.6**) should be obtained in the Lender's standard form, not the tenant's.

G. COVENANT, DEFAULT AND GUARANTY ISSUES

G-1 — Net worth and liquidity: the Term Sheet and your note disagree on the obligor (Priority 1 — client decision). Term Sheet §7.2 imposes the $1,000,000 net worth and $500,000 liquidity covenants on **Borrower** ("Borrower shall maintain at all times during the term of the Loan"). Your §6 note attributes them to **Guarantor**. These are very different credit propositions: a $1,000,000 net worth covenant applied to Borrower is a working-capital test; applied to Guarantor — whose net worth is stated in Term Sheet §1.3 at approximately $28,000,000 — it is nearly meaningless, because compliance is a 28-to-1 cushion. **Section 7.8(b)** implements the Term Sheet (Borrower) and **Section 7.8(c)** imposes the same thresholds on Guarantor as an addition, with **Section 12.1(b)** making a Guarantor breach a default. Neither threshold is appropriate in my view: I recommend (i) confirming with Marcus which obligor he intends; and (ii) if Guarantor, raising the thresholds substantially (for example a floor tied to a percentage of the outstanding principal balance, with a covenant not to permit net worth to fall below a stated level and liquidity of at least 5% of the Loan), consistent with the $28,000,000 starting point. As drafted, the instrument is defensible but toothless on this point.

G-2 — The Term Sheet's cure provisions do not cover insurance defaults (Priority 2). Section 11.2(b) of the Term Sheet grants a 30/90-day cure to non-monetary defaults "other than SPE defaults, transfer restriction defaults, and insurance defaults," but Section 11.2(c) grants "no cure period" only to SPE and transfer defaults. Insurance defaults therefore fall into a gap: excluded from the cure in (b), not picked up by (c). **Section 12.2(b)** and **Section 12.2(c)(vi)** resolve it by treating insurance defaults as having no cure period, which is the only reading consistent with the exclusion. Flagging it because Borrower's counsel will notice, and because a 30-day cure for a lapse in coverage is arguably what the Term Sheet intended.

G-3 — The DSCR default has no cure mechanism (Priority 1). Section 11.1(i) of the Term Sheet makes two consecutive quarters below 1.25x a default "without cure," and Section 11.2 provides no cure. **Section 12.1(i)** and **Section 12.2** follow. Combined with **A-2** (the covenant cannot be met), the Loan is in structural default from the first test date unless lease-up dramatically outperforms the borrower's own projections. Recommend the client adopt either a DSCR cure deposit (Borrower deposits the shortfall into a lender-held reserve, which cures the default), a cash sweep above a 1.10x threshold, or an additional guaranty, and that we draft the corresponding credit support before the instrument is executed rather than after.

G-4 — Late charge and payment cure interact awkwardly (Priority 3). The Late Charge accrues if an installment is not received within **10 calendar days** (Term Sheet §3.11; **Section 15.4**), while the payment default cure period is **5 Business Days** (Term Sheet §11.2(a); **Section 12.2(a)**). A payment received on day 7 or 8 is in default (cure expired) but incurs no late charge; a payment received on day 9 or 10 is in default and incurs a late charge. **Section 12.2(a)** notes that the Late Charge may be assessed independently and does not extend the cure period. The interaction is workable but inelegant; if the client wants the two

periods aligned, we can conform both to 10 calendar days. Separately, a 5% late charge is at the upper end of what South Carolina courts are likely to enforce as a reasonable estimate of administrative cost, and **Section 15.4** includes the recitals (difficulty of ascertainment, reasonable estimate, not a penalty) intended to support enforceability; **Section 15.8** provides an interest-rate savings clause. I would not expect difficulty at 5% but the recitals should stay.

G-5 — Default rate of 10.85% (Priority 3). Applicable Rate 5.85% plus 5.00% = **10.85%**. **Section 15.8** contains a full interest-rate limitation and savings provision, which I recommend retaining regardless: it protects against the risk that the Default Rate (which continues during the pendency of a bankruptcy) or the combination of default interest and late charges is held to exceed an applicable ceiling. I have not opined on the South Carolina usury ceiling in this memorandum; a short confirmation against S.C. Code Ann. Title 34, Chapter 31 should be added to the research list alongside **F-2**.

G-6 — "Full recourse personal guaranty" is a misdescription (Priority 2). Term Sheet §5.5 is headed "**Guaranty**" and opens with the statement that Guarantor "shall execute and deliver a full recourse personal guaranty," then immediately structures it as (a) a non-recourse carve-out guaranty, (b) a completion guaranty and (c) an interest-shortfall guaranty limited to 14 months. Only the carve-out limb is "full recourse," and only on a bad-boy event; the rest is limited. The Mortgage reflects the actual structure (**Section 18.14**, **Section 7.18**) rather than the heading. This matters for credit: the personal guaranty does not support debt service generally, so the lender's real protection is the Property, the completion guaranty and a 14-month interest backstop against an 81% as-is LTV and a covenant that cannot be met.

G-7 — The completion guaranty needs a cost-of-completion mechanism (Priority 2). Term Sheet §5.5(b) guarantees completion "within the approved renovation budget and by the Substantial Completion Deadline." The Mortgage cross-references it (**Section 10.6**, **Section 7.18**) and gives Lender the right to complete the Project and charge the cost (**Section 10.10**). *Action:* confirm that the Completion Guaranty, when delivered, covers budget overruns as well as physical completion, and that it is not discharged by Lender's own completion (a common carve-out in guarantor-favourable forms).

G-8 — The ten-month unguarded gap (Priority 1). The payment guaranty covers an interest shortfall for the first 14 months. Substantial Completion is due at month 14. The first DSCR test is at month 24. Between month 15 and month 24 there is neither a guaranty of debt service nor a tested covenant — and, on the borrower's own projections, that is the period in which Suite B is only just commencing rent (projected February 1, 2027, which is 2.5 months before the April 15, 2027 test date the borrower assumes). Recommend to Marcus that the interest-shortfall guaranty be extended through at least the first DSCR test date (and preferably through the earlier of stabilization or month 36), and that a DSCR/interest reserve be funded at closing from the equity contribution — which, per **A-4**, also has no source at present.

H. DOCUMENTATION, CLOSING AND DRAFTING ADDITIONS

H-1 — The Note, the Guaranty and the GC Contract are not in the file (Priority 1). The Mortgage states the Loan's terms (principal $14,750,000; Applicable Rate of Daily SOFR + 2.85% subject to a 3.00% SOFR floor, i.e. a 5.85% all-in floor; interest-only months 1–24; 25-year amortization from month 25; payments on the 15th commencing May 15, 2025; Maturity Date April 15, 2030) subject to the Note in the event of conflict (**Section 15.1**). Those terms come from the Term Sheet, not from the Note, which has not been produced. *Action:* obtain the Note and conform every figure; obtain the Guaranty, Completion Guaranty and Environmental Indemnity Agreements and confirm that the Mortgage's cross-references (Articles 12, 17 and 18.14) match their defined terms and carve-outs. The GC Contract is likewise referenced (defined term "GC Contract"; **Section 6.13**) but not produced; the executed copy is a Term Sheet closing condition (§12.1(l)) and is needed to add the environmental covenant required by **C-2**.

H-2 — Interest computation convention is not specified in the Term Sheet (Priority 2). The Term Sheet says only that interest accrues at Daily SOFR plus 2.85%, without specifying the day-count or compounding convention. **Section 15.2** adopts **actual/360**, which is conventional for SOFR-based commercial loans and produces a marginally higher effective rate than actual/365 (by a factor of 365/360, or about 1.39%). This is a real economic term to which Borrower's counsel will object if they are alert. *Action:* confirm with Marcus before execution; if he prefers actual/365 or a compounded-in-arrears convention, **Section 15.2** and the Note must be conformed together.

H-3 — Benchmark replacement provision added (Priority 2). Nothing in the Term Sheet addresses the cessation or unavailability of Daily SOFR. **Section 15.11** adds a customary benchmark replacement mechanism (successor rate plus spread adjustment, conforming changes, amendment mechanics with a 15-day notice and a lender-unilateral fallback if Borrower does not execute). This is an addition (**H-5**) but a necessary one: without it the Note would have no mechanism if Daily SOFR is discontinued, and the loan would be unadministrable.

H-4 — Insurance: cost consequences of the Lender's requirements (Priority 3). The draft implements the Term Sheet amounts — all-risk at replacement cost with agreed amount, CGL $2,000,000/$5,000,000, flood **$5,000,000** in FEMA Zone X, builder's risk $3,150,000, workers' compensation, and umbrella $5,000,000, all with A-:VII carriers and 30 days' notice (**Article 8**). Two observations: the $5,000,000 flood requirement in Zone X is a Lender-imposed condition and will be a real cost (and possibly hard to place at that limit in Zone X, where carriers may question the exposure); and builder's risk at the full $3,150,000 budget is higher than the GC contract sum ($2,850,000) because it must cover the soft costs and contingency — that is correct as drafted and should not be reduced to the contract sum. I added **business income/rent loss insurance of 12 months (Section 8.1(g))**, which the Term Sheet does not require; given the 56.13% occupancy and the debt service coverage shortfall, rent loss coverage matters more here than usual.

H-5 — Additions to the Term Sheet, for the client's approval (Priority 2). Section 14.4 of the Term Sheet permits Lender to require additional provisions "consistent with Lender's customary documentation requirements and applicable law" and not "materially inconsistent with the terms of this Term Sheet." The following additions in the draft should be identified to Marcus so that they are approved rather than discovered: (i) pro-rata lender/equity funding test for Draws (**Section 10.2(d)**); (ii) change-order approval thresholds of $50,000 each / $100,000 aggregate (**Section 7.7(d)**); (iii) the indirect and upstream change-of-control restrictions (**Section 7.5(c)**); (iv) additional "actual loss" carve-outs in **Section 18.14** (insurance, waste, taxes, failure to deliver Rents, litigation costs); (v) business income and rent loss insurance (**Section 8.1(g)**); (vi) partial prepayment minimum increments of $500,000 (**Section 16.4**); (vii) benchmark replacement (**Section 15.11**); (viii) the $250,000 thresholds for settling insurance and condemnation claims (**Section 14.1**) and for judgment and cross-default Events of Default (**Sections 12.1(e), 12.1(p)**); (ix) the minimum $1,000,000/ $500,000 covenants applied additionally to Guarantor (**Section 7.8(c)**); (x) the requirement that undisbursed holdback be applied to principal or retained after Substantial Completion rather than released (**Section 10.11**); and (xi) the express denial of Borrower's right to partial prepayment during the Yield Maintenance Period (Term Sheet consistent, but stated as an absolute). Items (iv) and (x) are the ones Borrower's counsel is most likely to resist and the ones with the greatest real economic content.

H-6 — Conditions precedent and closing checklist (Priority 2). Section 12.1 of the Term Sheet lists fourteen conditions precedent plus a catch-all. For the closing checklist, note that several are not yet evidenced in the file: satisfactory evidence of the $6,200,000 equity contribution (§12.1(m)) — see **A-4**; the executed construction contract with all amendments (§12.1(l)); estoppels and SNDAs from all three tenants (§12.1(j)–(k)) — see **B-9**; legal opinions (§12.1(h)) — we will need Borrower's counsel to opine on organisational matters, authority and enforceability, and the enforceability opinion depends on receiving the full operating agreement (**D-8**); insurance certificates (§12.1(f)); and good standing certificates (§12.1(g)). I will build the closing checklist from Section 12.1 plus the requirements in Schedule B-I of the Title Commitment and the additional items flagged in this memorandum.

5. DRAFTING DECISIONS AND ASSUMPTIONS

The following decisions are embedded in the draft. Each is reversible on instruction; I record them so that nothing is later discovered rather than approved.

No.	Decision	Rationale	Where reflected
1	Draft to the executed Term Sheet where the Term Sheet and your Markup Notes conflict, and flag rather than resolve the conflict	The Term Sheet is the binding commitment; §14.3 provides that the Loan Documents control in the event of conflict, but §14.4 bars provisions "materially inconsistent" with the Term Sheet	**E-2**, **E-4**, **G-1**, **G-2**

No.	Decision	Rationale	Where reflected
2	Do not state an occupancy percentage in the Mortgage body	The record states two irreconcilable figures; hard-coding either would perpetuate the error in a recorded instrument	**A-1**; Exhibit D
3	Treat the assignment of rents as absolute and present, with a revocable licence back	Your instruction; better position against third parties and in state-court enforcement, while preserving practical collection mechanics	**Article 5**
4	Include specific Land Use Restriction covenants and a dedicated Event of Default	Required by the Title Insurer's Note 1 to closer and by the ESA's recommendation, and by Term Sheet §5.4's environmental indemnity requirement	**Section 7.6**, **Section 12.1(k)**, Exhibit E
5	Make the LUR default uncurable	Title Insurer's instruction and Term Sheet §11.2(c) (SPE and transfer defaults uncurable), extended to the environmental institutional controls by analogy	**Section 7.6(c)**, **Section 12.2(c)**
6	Condition renovation Draws on SCDHEC notice and pre/post-work environmental certification where work may affect the Bay 1 slab	The vapor barrier is beneath a slab that the Project may touch indirectly; an inadvertent breach is both a regulatory event and a default	**Section 10.2(g)**, **Section 7.6(c)(iii)**
7	Represent that the operating agreement contains the SPE provisions, keyed to delivery of the amendment as a closing condition	Your action item (a): draft as though compliant, while making the truth of the representation a visible condition	**Section 6.12**, **Section 7.4**
8	Add indirect and upstream change-of-control restrictions	OA §4.1 does not reach upstream changes; a non-recourse SPE managed by one individual is only as good as his continued control	**Section 7.5(c)**
9	Apply the $1,000,000/$500,000 covenants to both Borrower (Term Sheet) and Guarantor (your note)	Resolves the conflict without choosing; flagged for client instruction and recommended for re-sizing	**Section 7.8(b)–(c)**
10	Use actual/360 for interest	Conventional for SOFR-based commercial loans; the Term Sheet is silent	**Section 15.2**
11	Include a benchmark replacement mechanism	Without it the Note is unadministrable if Daily SOFR ceases	**Section 15.11**
12	Retain the 1.00% prepayment floor and use the Term Sheet's interest-differential formula	Faithful to the binding commitment; mathematically determinate; the formula in your note produces zero	**Section 16.2**
13	Apply casualty and condemnation proceeds at par without premium	Your instruction; majority market position; not in the Term Sheet	**Sections 14.4, 16.1, 16.5**
14	State expressly that the Mortgage grants no power of sale	South Carolina is a judicial foreclosure state and the instrument should not appear to confer a non-judicial power	**Section 13.2**, **Section 18.16**
15	Add the "actual loss" carve-outs (insurance, waste, taxes, Rents, litigation costs)	Customary in non-recourse structures; makes the exculpation commercially meaningful without converting the Loan to full recourse	**Section 18.14**
16	Add business income / rent loss insurance	Not required by the Term Sheet; material given 56.13% occupancy and the coverage shortfall	**Section 8.1(g)**

No.	Decision	Rationale	Where reflected
17	Present the mortgage recording tax at $54,575 as an estimate “subject to confirmation by the Title Insurer”	Arithmetic verified, but the tax is assessed at recording and the base should be confirmed	**Section 15.7**, **B-8**
18	Cite the Uniform Assignment of Rents Act by chapter and title, not by pinpoint section	The pinpoint in the file does not match the codification as I understand it; a recorded instrument should not carry an unverified citation	**Sections 5.1, 18.16**, **F-2**
19	Do not draft the Operating Agreement Amendment for Borrower	Borrower’s counsel’s document; we should specify the required provisions rather than draft into another firm’s document	**D-1**
20	Do not condition closing on an SNDA that a tenant has no obligation to give, without client instruction	The condition can fail through no fault of Borrower; the instruction needs to be informed	**B-9**

6. ARITHMETIC AND CROSS-REFERENCE VERIFICATION LOG

6.1 Figures recomputed. Each figure below was recalculated from its source components. “Result” records whether the stated figure agrees with the independent computation.

No.	Figure	Stated in	Independent computation	Result
1	Occupancy at closing	TS §2.3, APP §1 (68%; 21,400 SF)	3,800 + 3,800 + 9,800 = 17,400 SF; 17,400 ÷ 31,000 = **56.13%**	**Does not reconcile**
2	Vacancy	TS §2.3 (13,600 SF; 43.9%)	13,600 ÷ 31,000 = 43.87%	Reconciles — but is inconsistent with the 68% figure in the same section
3	Occupied + vacant SF	APP §1, §3.1	21,400 + 13,600 = 35,000 SF against a 31,000 SF building	**Does not reconcile**
4	In-place annual rent	TS §2.3, RR, APP §1	108,300 + 91,200 + 215,600 = $415,100	Reconciles
5	Weighted average in-place rent	APP §3.1 ($19.40/SF)	415,100 ÷ 17,400 = **$23.86/SF** ($19.40 is 415,100 ÷ 21,400)	Appraisal figure derived from erroneous denominator
6	As-is LTV	TS §3.5, APP §7 (81%)	14,750,000 ÷ 18,200,000 = 81.04%	Reconciles
7	As-stabilized LTV	TS §3.5, APP §7 (62.77%)	14,750,000 ÷ 23,500,000 = 62.77%	Reconciles
8	Loan-to-cost	TS §3.5, APP §7 (70.41%)	14,750,000 ÷ 20,950,000 = 70.41%	Reconciles
9	Borrower equity as % of cost	TS §3.4 (29.6%)	6,200,000 ÷ 20,950,000 = 29.59%	Reconciles
10	Member capital commitments	OA §2.2	72% × 6,200,000 = 4,464,000; 18% = 1,116,000; 10% = 620,000; total 6,200,000	Reconciles
11	Renovation Holdback	TS §§3.3(b), 6.4	14,750,000 − 12,500,000 = 2,250,000; 2,250,000 ÷ 3,150,000 = 71.43%	Reconciles

No.	Figure	Stated in	Independent computation	Result
12	Renovation budget components	TS §§3.4, 8.2	1,200,000 + 475,000 + 625,000 + 550,000 + 300,000 = 3,150,000	Reconciles
13	GC contract sum versus budget	TS §3.4; RBS Budget Detail	Items 1.0–4.0 = 2,850,000; item 5.0 = 300,000 (200,000 soft + 100,000 contingency); total 3,150,000	Reconciles
14	Holdback / equity allocation of budget	TS Exhibit B; RBS	Holdback 850,000 + 375,000 + 425,000 + 450,000 + 150,000 = 2,250,000; equity 350,000 + 100,000 + 200,000 + 100,000 + 150,000 = 900,000	Reconciles
15	Equity required for hard-cost scope	RBS ($600,000)	2,850,000 − (2,250,000 − 150,000) = **$750,000**	RBS footnote mislabelled (compares total holdback, not hard-cost allocation)
16	Draw schedule totals	RBS Draw Schedule	Lender draws sum to 2,250,000 (correct); equity draws sum to **905,000**; cumulative total **3,155,000**	**Does not reconcile** to $900,000 / $3,150,000 stated in the same sheet's TOTAL row
17	Capital replacement reserve	TS §6.2 ($645.83/month)	0.25 × 31,000 = 7,750 per year; 7,750 ÷ 12 = 645.833	Reconciles
18	Origination fee	TS §13.1 ($147,500)	1.00% × 14,750,000 = 147,500	Reconciles
19	South Carolina mortgage recording tax	KAM ($54,575)	14,750,000 ÷ 500 × 1.85 = 54,575 (= 0.37%)	Reconciles
20	Monthly P&I, 25-year, 5.85%	RR ($93,500)	14,750,000 × (0.0585/12) ÷ (1 − (1 + 0.004875)^−300) = **93,686.61**	**Does not reconcile** (annual understated by $2,239)
21	Annual interest-only payment	RR ($863,375)	14,750,000 × 5.85% = **862,875**	**Does not reconcile** (overstated by $500)
22	DSCR, stabilized best case	RR (0.555x / 0.72x)	622,772 ÷ 1,124,239 = 0.554x; 622,772 ÷ 862,875 = 0.722x	Reconciles (rounding)
23	DSCR, realistic at test date	RR (0.281x / 0.365x)	314,782 ÷ 1,124,239 = 0.280x; 314,782 ÷ 862,875 = 0.365x	Reconciles
24	NOI required for 1.25x	not stated	1.25 × 862,875 = 1,078,594 (interest-only); 1.25 × 1,124,239 = 1,405,299 (amortizing)	Computed for this memorandum
25	Loan size supporting 1.25x	not stated	622,772 ÷ 1.25 = 498,218 annual DS → **$6,536,606** at 5.85%/25 yrs; $8,516,540 on an interest-only basis	Computed for this memorandum
26	Outstanding balance at maturity	not stated	36 amortizing payments from month 25 → **$13,895,165**	Computed for this memorandum

No.	Figure	Stated in	Independent computation	Result
27	Interest-only period	TS §3.9 (ends month 24; amortization from May 15, 2027)	Closing April 15, 2025; month 24 = April 15, 2027; month 25 = May 15, 2027	Reconciles
28	Maturity	TS §3.8 (April 15, 2030)	April 15, 2025 + 60 months = April 15, 2030	Reconciles
29	Prepayment periods	TS §4	Lockout months 1–24; YM months 25–48; open months 49–60; month 48 = April 15, 2029; month 60 = April 15, 2030	Reconciles and covers the term without gap or overlap
30	Substantial Completion Deadline	TS §8.3 (June 15, 2026)	April 15, 2025 + 14 months = June 15, 2026	Reconciles
31	Survey re-certification window	TC Requirement 9 (within 90 days of closing)	January 15, 2025 + 90 days = **April 15, 2025** — exactly the anticipated closing date	Reconciles, with no margin
32	Title commitment life	TC (expires August 28, 2025)	February 28, 2025 + 6 months = August 28, 2025; closing deadline May 15, 2025	Reconciles; headroom exists
33	Tenant security deposits	RR ($69,183)	18,050 + 15,200 + 35,933 = 69,183 (each two months' base rent)	Reconciles
34	Lease-up TI and commissions	RR Vacancy Schedule	TI 95,000 + 215,600 = 310,600; commissions 28,500 + 61,250 = 89,750; total **400,350** against a $150,000 TI/LC reserve and a $550,000 TI budget line	No shortfall in the renovation budget; the reserve alone would be insufficient
35	Rent escalations	RR projections	28.50 × 1.03 = 29.355 (≈$29.36); × 1.03 = 30.24; × 1.03 = 31.14. 24.00 × 1.025 = 24.60; 22.00 × 1.025 = 22.55	Reconcile
36	Lease-up TI allowance per SF	RBS ($40.44/SF blended)	550,000 ÷ 13,600 = 40.44	Reconciles
37	Sources and uses	TS §§3.4, 13; Exhibit B	14,750,000 + 6,200,000 = 20,950,000 = 17,800,000 + 3,150,000, leaving **$0** for closing costs, taxes and the $150,000 reserve; known shortfall 147,500 + 54,575 + 150,000 = **$352,075**	**Does not balance**
38	Guaranty coverage gap	TS §5.5(c) (14 months) versus §7.1 (test at month 24)	Months 15–24 unguarded and untested = **10 months**	Confirmed gap
39	Prepayment premium, illustrative month-30 prepayment	KAM formula versus TS §4.2	At a 4.00% Treasury rate: Term Sheet formula **$286,840**; 1% floor $146,177; your Markup Notes formula **$(12,983,591)** (i.e. zero); 50-bps-on-loan-rate variant **$499,314**	Term Sheet formula drafted; **E-1** to **E-3**

6.2 Cross-references checked. I checked every internal reference in the Mortgage (Articles 2–18 and Exhibits A–E) and every reference to the Term Sheet. Two drafting corrections resulted from the check and have been made: the "Treasury Rate" definition now points to Section 16.2 (not 16.2(b), which is a formula clause), and a renumbered subsection at 7.3A has been folded into Section 7.3 so that the section numbering runs without a break. The Term Sheet cross-references used in the Mortgage are §5.4, §5.5(b), §5.5(c), §5.6, §7.1, §7.2, §7.3(e),

§8.4, §10.1, §10.3, §11.2, §12.1, §13.2 and §14.3; each has been verified to exist in the executed Term Sheet and to address the subject for which it is cited.

6.3 Conflicting statements identified across the record.

No.	Subject	Conflicting statements	Recommended treatment
1	Occupancy	68% (TS, APP) versus 56.13% (RR)	Use 56.13%; see **A-1**
2	Occupied area	21,400 SF (APP) versus 17,400 SF (RR)	Use 17,400 SF
3	Weighted average rent	$19.40/SF (APP) versus $23.86/SF (RR)	Use $23.86/SF
4	DSCR first test date	July 15, 2027 for the quarter ending June 30, 2027 (TS §7.1, literal) versus April 15, 2027 (RR and KAM)	Drafted to the Term Sheet (**Section 7.8(a)**); client to confirm — the April date is stricter and would be a change to the Term Sheet
5	Net worth / liquidity obligor	Borrower (TS §7.2) versus Guarantor (KAM §6)	Draft both; client to instruct — **G-1**
6	Guaranty character	“Full recourse personal guaranty” (TS §5.5 heading) versus non-recourse carve-out with limited completion and 14-month interest limbs (TS §5.5(a)–(c))	Follow structure, not heading — **G-6**
7	Registered agent	Capitol Registered Agents Inc. (TS §1.2) versus Statehouse Registered Agents, Inc. (OA §1.3)	Same street address; verify with the Secretary of State — **D-6**
8	FEMA flood panel	45019C0418J eff. Nov. 4, 2014 (APP) versus 45019C0520J eff. Dec. 4, 2020 (ESA)	Confirm current panel — **C-4**
9	Cure period for insurance defaults	Excluded from the non-monetary cure (TS §11.2(b)) but not listed as uncurable (TS §11.2(c))	Drafted as uncurable — **G-2**
10	Lender email domain	“coastalheritagebank.com” (TS §1.1) versus “Calverley Heritage Bank”	Appears as the notice address in **Section 18.1**; confirm before execution
11	Financial reporting standard	Audited within 120 days (TS §7.3(a)) versus reviewed within 90 days (OA §6.2(b))	Follow Term Sheet — **D-7**
12	Transfer restrictions	TS §10.3 (10%/25%, existing members only) versus OA §§4.2(c), 4.1 (successor-fund transfers permitted; upstream transfers unregulated)	Conforming amendment required — **D-3**, **D-4**
13	Holdback shortfall for GC scope	$600,000 (RBS footnote) versus $750,000 (correct)	Use $750,000 — **A-6**
14	Draw schedule totals	$900,000 / $3,150,000 (RBS total row and budget) versus $905,000 / $3,155,000 (RBS draw lines)	Conformed in Exhibit C — **A-6**
15	Phase I report description	“Indicating no recognized environmental conditions” (TS §12.1(c)) versus one Controlled Recognized Environmental Condition (ESA §4, §7)	The Term Sheet’s description is imprecise; a CREC is not a REC, but the LUR obligations are live — **C-1**
16	Title vesting at commitment	Fee simple vested in Hampstead Village Holdings LLC (TC Schedule A §3) versus Term Sheet §12.1(b) (commitment “showing fee simple ownership vested in Borrower”)	Deed records at closing; the pro forma policy must show Mortgagor — **B-8**

7. OPEN ITEMS AND INFORMATION REQUESTS

No.	Item required	Why it matters	Request from	Target date
1	Promissory Note (executed or near-final)	Every loan term in **Article 15** is taken from the Term Sheet; the Note governs	Lender (Fielding, Ashworth & Cole, drafting) / client	April 1
2	Guaranty Agreement, Completion Guaranty, Environmental Indemnity Agreement	Cross-referenced at **Articles 12, 17, 18.14**; carve-outs and survival must match	Lender's drafting file	April 1
3	Full unredacted operating agreement, all exhibits, and the March 1, 2025 amendment	Cannot confirm SPE compliance or give an enforceability opinion without it (**D-8**)	Cartwright & Lyons LLP	April 4
4	Written consent and joinder of all three members; Tidewater GP Holdings LLC authority (resolutions or certificate); Harborline incumbency	**Section 7.4(j)**; authority to bind (**D-5**)	Cartwright & Lyons LLP	April 8
5	Executed construction contract with all schedules, exhibits and amendments, plus environmental side letter re vapor barrier	**Section 6.13**, **Section 7.6(c)(iv)**, **C-2**; Term Sheet §12.1(l)	Borrower / Beaufort Builders Group LLC	April 8
6	ALTA/NSPS Survey, re-certified within 90 days of closing, with the required Table A items	Term Sheet §12.1(e); TC Requirement 9; **B-4**	Cartwright Land Surveying LLC via Prestige Title	April 10
7	Written confirmation that the Anson Lane strip will be insured in fee simple without carve-out; quote for affirmative coverage (ALTA 34 or equivalent); recorded Ordinance No. 2019-084	**B-1**	Prestige Title (Rebecca L. Hargrove)	April 4
8	Written limitation of plat Exception 7; confirmation that standard exceptions (b)–(e) will be deleted; gap indemnity or disbursement undertaking; quotes for zoning, access, survey, comprehensive, contiguity, future advance and survey/encroachment (ALTA 28.1) endorsements	**B-2**, **B-3**, **B-6**, **B-7**	Prestige Title	April 8
9	Encroachment permit, license or franchise for the balcony, or written confirmation that none exists	**B-3**; Term Sheet §12.1(n)	Borrower	April 8
10	Complete SCDHEC remediation file for Site ID SC-29403-0772, including the NFA letter and all conditions; confirmation of the January 22, 2025 Phase II waiver correspondence	**C-3**	Borrower / Clearfield Environmental	April 8

No.	Item required	Why it matters	Request from	Target date
11	Environmental professional's pre-renovation vapor barrier inspection report	**C-2**; ESA §6(b)	Borrower	Before Project mobilisation
12	Tenant estoppel certificates and SNDAs (all three tenants)	Term Sheet §12.1(j)–(k); **B-9**, **F-1**	Borrower	April 10
13	Underlying leases (all three) and the September 1, 2023 Harmon & Wren amendment	Abstracts only; need to verify ROFR mechanics, estoppel/SNDA obligations and the lapsed termination right (**F-4**)	Borrower	April 4
14	Certified closing statement and sources-and-uses schedule; evidence of the $6,200,000 equity funding and of funding of the closing-cost/reserve shortfall	**A-4**; Term Sheet §12.1(m)	Borrower / Prestige Title	April 10
15	Confirmation of loan committee or board approval of the 81.04% as-is LTV (and any conditions attached)	**A-3**	Marcus Prideaux	April 4
16	Client instructions on: DSCR covenant treatment (**A-2**); the 50-basis-point placement and 1% floor (**E-3**, **E-4**); casualty/condemnation at par (**E-6**); net worth obligor and thresholds (**G-1**); interest day-count convention (**H-2**); approval of the additions listed at **H-5**	Business decisions that cannot be made by counsel	Marcus Prideaux / Kit Ashworth	April 8
17	Insurance certificates and evidence of flood and builder's risk placements at the required limits	Term Sheet §12.1(f); **H-4**	Borrower's broker	April 10
18	Good standing certificates (South Carolina and each other jurisdiction of qualification)	Term Sheet §12.1(g); **Section 6.1**	Borrower	April 10
19	Legal opinions of Borrower's counsel (organisation, authority, execution, enforceability, no conflicts)	Term Sheet §12.1(h); depends on item 3	Cartwright & Lyons LLP	April 11

Research items to be completed by me: (i) verify the codification and enforcement mechanics of the South Carolina Uniform Assignment of Rents Act and conform **Article 5** if its notice requirements exceed written notice to tenants (**F-2**); (ii) confirm the South Carolina interest ceiling and the enforceability of the default rate and late charge (**G-4**, **G-5**); and (iii) confirm the acknowledgment, witness attestation and "prepared by" requirements for recordation in Charleston County (**B-8**).

8. RECOMMENDED NEXT STEPS AND TIMETABLE

Date	Step
March 28 (today)	Route this memorandum and the draft to you. Send the letters to Prestige Title (items 7 and 8) and Cartwright & Lyons LLP (items 3, 4, 9, 13, 18). Begin the three research items.
March 31	Complete the research items; circulate the form of required Operating Agreement Amendment provisions for Borrower's counsel to incorporate.
April 1	Deliver the draft to Marcus Prideaux with a short transmittal that leads with the four decisions at **Section 2** rather than with the document. Do not send the draft without flagging **A-2** and **A-4**; sending a clean draft of an instrument that contains a covenant the borrower cannot meet invites the criticism that we did not raise it.
April 4	Client call: DSCR approach, sources-and-uses, prepayment economics, net worth thresholds.
April 8	Incorporate instructions; circulate revised draft; receive member consents, survey re-certification and title endorsement quotes.
April 10–11	Closing checklist finalised; estoppels, SNDAs, insurance, good standings and opinions in hand; title policy pro forma conformed to Exhibit B.
April 15	Anticipated closing (record deed, then Mortgage; file UCC-1 and fixture filing; pay the recording tax).
May 15	Outside closing date under Term Sheet §14.5 — if closing has not occurred, the commitment terminates and the survey must be re-certified again.
December 31, 2025	Harmon & Wren renewal notice deadline — diarise now; it falls during the renovation (**F-4**).
March 31, 2027	Lowcountry Provisions renewal notice deadline — outside date for the conforming lease amendment (**Section 5.6(ii)**).
April 15, 2027	Interest-only period ends; amortization begins at month 25; first DSCR test (as drafted, the test is at the quarter ending June 30, 2027).

9. LIMITATIONS AND RELIANCE

This memorandum and the accompanying draft are prepared for the internal use of Fielding, Ashworth & Cole LLP and its client, Calverley Heritage Bank, in connection with the Loan, are privileged and confidential, and may not be relied upon by any other person without our prior written consent. This memorandum is not a title opinion, a survey, a valuation, an environmental opinion or an audit; it records my reading of the documents listed at **Section 1.3** and my independent recomputation of the figures derived from them. Where the underlying documents are summaries (the appraisal is a summary report, the Phase I ESA is an executive summary, the operating agreement is a redacted summary, and the leases are abstracts), my conclusions are necessarily limited by what those summaries contain, and the qualifications in **Section 1.4** should be treated as material. Figures have been verified against the documents in the record, not against Borrower's accounting records, bank statements or closing statement, none of which has been produced. Nothing in this memorandum should be read as a valuation of the Property or as a recommendation on the credit decision; the observations at **A-2**, **A-3** and **G-8** are documentation and risk-allocation observations, and the credit decision remains the client's.